

Outlook

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Rate sensitivity without pretending we have a full ALM model

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

The planning team needs to understand which product and customer groups are most exposed when lending and account rates change. The timing also overlaps with SARB emergency 100bp rate cut to 4.25%. Treat that as context to test, not an answer.

Could the answer be that variable-rate borrowers show stress before fixed-rate borrowers? Or are we actually seeing that fee-sensitive deposit activity changes after repricing? I also do not want us to miss the possibility that repayment stress is driven more by cash flow than by nominal rate.

We looked at a version of this before. For the April 2020 review, please show what changed and whether the earlier conclusion still holds. The practical decision is where product repricing, customer communication or credit monitoring should be focused. Please send a model-ready table, data dictionary and an honest baseline; I need the exceptions and counter-examples, not only an average.

Work from monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions. This is a behavioural sensitivity study, not IRRBB, economic value of equity or a regulatory interest-rate calculation.

Regards